

Investment Credit Memorandum

Oakmont CLO 2024-2 | Oakmont Drilling LLC | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$7,200,000 allocation of the Oakmont Drilling LLC first-lien term loan into the Oakmont CLO 2024-2 warehouse, and to roll that position into the CLO at closing. The borrower is Oakmont Drilling LLC, headquartered in Oklahoma City. The financial sponsor is Tidepool Energy. Analyst: Kevin Zhou. Committee chair: Iris Benoit. Portfolio manager: Noah Patel, Evergreen Loan Strategies LLC.

Recommendation: Approve at a maximum par of \$7,200,000 (1.80% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Oakmont CLO 2024-2 indenture. Moody's corporate family rating is Caa1. S&P issuer credit rating is CCC+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Oakmont Drilling LLC operates in Energy. The company is owned by Tidepool Energy. Neither the sponsor nor the borrower is affiliated with Evergreen Loan Strategies LLC.

Related book names in Oakmont CLO 2024-2 include Redbud Convenience Stores, Cimarron Wind Holdings. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Oakmont Drilling LLC first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Canyon Bridge Bank is the warehouse lender to Oakmont CLO 2024-2.

Investment Credit Memorandum

Oakmont CLO 2024-2 | Oakmont Drilling LLC | 4 March 2024

4. Credit highlights and risks

Highlights: sponsor support from Tidepool Energy, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Energy and add-on acquisition risk. Kevin Zhou confirmed that Moody's industry classification for Oakmont Drilling LLC is 'Energy'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated Caa1. It uses 1.80 of the 2.00 percentage-point largest-obligor covenant. Noah Patel confirmed the trade for Oakmont CLO 2024-2.

If Oakmont Drilling LLC is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Oakmont CLO 2024-2 indenture. Wilmington Trust, N.A. would reflect that classification on the next monthly trustee report. Evergreen Loan Strategies LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Evergreen Loan Strategies LLC approved the \$7,200,000 purchase for the Oakmont CLO 2024-2 warehouse on 4 March 2024. Voting members: Iris Benoit (chair), Noah Patel, and Kevin Zhou. The trade will settle into the Canyon Bridge Bank warehouse and be conveyed to Oakmont CLO 2024-2, Ltd. on the closing date of 28 March 2024.